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DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 52

AN ACT TO AMEND TITLE 29 OF THE DELAWARE CODE RELATING TO THE EMPLOYMENT OF STATE PENSIONERS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 5502, Title 29 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows and redesignating accordingly:

§ 5502. Employment of pensioners.

(a) An individual ~~shall~~ may not receive a service or disability pension under this chapter for any month during which the individual is an employee unless the individual ~~is:~~ is any of the following and eligible under paragraph (d)(1) of this section:

(1) An official elected by popular vote at a regular state ~~election;~~ election.

(2) An official appointed by the ~~Governor;~~ Governor.

(3) A temporary, casual, ~~seasonal~~ seasonal, or substitute employee as defined by the Board of Pension ~~Trustees;~~ Trustees.

(4) A substitute teacher employed by a school district or charter school ~~in the State;~~ this State.

(5) A temporary justice of the peace appointed pursuant to § 9211 of Title 40; ~~or~~ 10.

(6) A per diem employee of the General Assembly.

(d) ~~Any employment under paragraph (a)(2), (a)(3) or (a)(4) of this section requires~~ (1) If an individual is less than 59 ½ years old, the individual is required to have a 6-month bona fide 3-month separation of service from that individual's effective date of retirement if the individual is under age 65. Earnings before any employment under subsection (a) of this section.

(2) During calendar years 2023 and 2024, earnings from employment under paragraph (a)(3) or (a)(4) of this section will be are subject to an annual earnings limit of \$50,000, ~~beginning in calendar year 2023.~~ \$50,000. If an individual ~~does exceed the~~ exceeded this allowable earned ~~income~~ income, the individual's state pension benefit from this chapter shall be reduced, with a \$1.00 deduction for every \$2.00 earned over the annual earnings limit. The

22 deduction will begin in July of the year following the calendar year for which the earnings are reported, in a manner as
23 determined by the Board.

SYNOPSIS

Current law allows pensioners to be employed in a Governor-appointed position or as a temporary, casual, seasonal, or substitute employee, including as a substitute teacher, but only after a 6-month separation of service period if the pensioner is under age 65 and limits annual earnings by temporary, casual, seasonal, or substitute employees to \$50,000 before an individual's earnings affect the amount of the individual's pension.

To alleviate staffing shortages in schools and state agencies with 24-hour shifts, this Act removes the earnings limit beginning calendar year 2025, lowers the age when the separation of service period applies to individuals who are under 59 ½ years old, and reduces the required separation of service period to 3 months. This Act also clarifies that the pensioners may be employed as substitute teachers by charter schools under the same requirements as school districts.

To comply with federal law, this Act makes the bona fide 3-month separation period applicable to all pensioners employed under § 5502(a) of Title 29.

This Act also makes technical corrections to conform existing law to the standards of the Delaware Legislative Drafting Manual.

Author: Senator Buckson